

Nan Ya Printed Circuit Board Corp (8046 TT)

 Target price: **TWD2,460.00** (from TWD2,444.00)

 Share price (2 Sep): **TWD1,200.00** | Up/downside: **+105.0%**

5 4 3 2 1


Buy
 (unchanged)

Spec upgrade to drive additional ABF substrate demand

- Near-term outlook largely on track with our estimates
- We believe structural changes should extend the current up-cycle
- Reaffirming our Buy (1) rating; raising 12-month TP to TWD2,460

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What's new: We hosted an online conference call for NYPCB on 2 September, after trading hours. Overall, we believe the price hike trend is largely on track with our estimates despite a short hiccup in 4Q26E (for more details, please refer to our earlier note, [Escalating price hike in substrates](#)). Looking ahead, we believe the trend towards enlarging body sizes and multiple core layers in ABF substrates and the supply-demand imbalance in BT substrates will be key growth drivers for NYPCB.

What's the impact: Near-term update. We are comfortable with our revenue growth estimate of c.20% QoQ in 3Q26E, given ongoing price hikes and a rising utilisation rate at Kunshan (likely to reach 100% in 4Q26E). We believe the yield rate at Kunshan still has room to improve, which could negatively impact the gross margin (GM) performance in 3Q26E. That said, compared with July, we expect the GM to improve 6-7pp MoM in August given the rising yield rate, and remain confident of a c.30% GM in 3Q26E. We expect NYPCB to achieve higher price hikes than other substrate vendors, as it does not sign long-term agreements with end customers. However, NYPCB has stated that it currently has no intention to hike BT substrate prices further from 4Q26, as raw material price hikes have eased recently; as such, we have accounted for it in our model. Lastly, NYPCB mentioned that it has received new AI HDI orders from a US-based ODM, which will result in its PCB segment reaching c.30% QoQ revenue growth and operating profit from 4Q26E.

Long-term investment thesis. We believe a meaningful spec upgrade is also likely to occur in ABF substrates, as core layer counts will need to increase their rigidity to handle the increasing body size of substrates. This trend would digest more ABF capacity and relevant raw materials (eg, T-glass) than just unit growth from 2028E. Also, we believe this would make the current upcycle last longer than previous ones. As for BT substrates, we believe ASP growth will accelerate again as two key players are gradually reducing their BT capacities. Thus, we maintain our BT ASP assumption for 2027E despite a lower-than-expected price hike in 4Q26E.

What we recommend: While we lower the 2026E EPS by 4% on a reduced BT price hike in 4Q26E, we keep the 2027-28E EPS largely unchanged. We reaffirm our Buy (1) call and raise our 12-month TP to TWD2,460 (from TWD2,444), based on an unchanged target PER of 49x applied to the 1-year forward EPS. Downside risk: weaker-than-expected demand for switches.

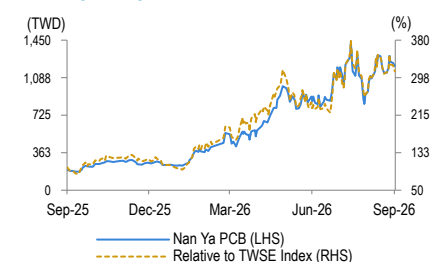
How we differ: Our 2026-28E EPS are 10-41% above the Bloomberg consensus, likely due to our more bullish view on ABF/BT ASP hikes.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(1.0)	1.1	1.7
Net profit change	(4.4)	0.2	1.3
Core EPS (FD) change	(4.4)	0.2	1.3

Source: Daiwa forecasts

Share price performance



12-month range	179.00-1,415.00
Market cap (USDbn)	24.50
3m avg daily turnover (USDm)	528.50
Shares outstanding (m)	646
Major shareholder	Nan Ya Plastics Corp (67.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	59,491	114,084	175,704
Operating profit (m)	14,616	49,016	91,550
Net profit (m)	12,163	40,098	73,747
Core EPS (fully-diluted)	18.824	62.056	114.130
EPS change (%)	524.8	229.7	83.9
Daiwa vs Cons. EPS (%)	10.4	41.4	39.3
PER (x)	63.7	19.3	10.5
Dividend yield (%)	0.8	2.6	4.8
DPS	9.4	31.0	57.1
PBR (x)	13.6	8.5	5.3
EV/EBITDA (x)	34.8	13.2	7.1
ROE (%)	23.6	54.0	62.4

Source: FactSet, Daiwa forecasts

NYPCB: revenue and earnings forecast revisions

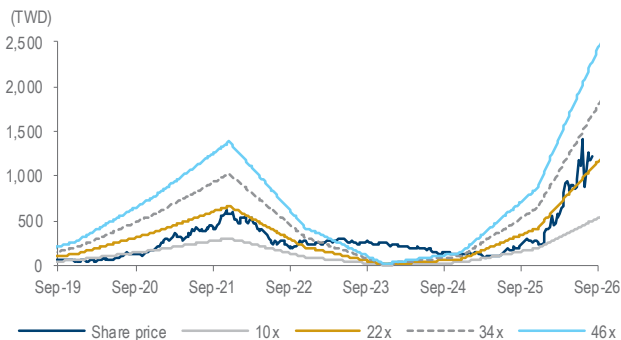
(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	60,064	59,491	59,245	112,828	114,084	97,642	172,751	175,704	145,230
Diff (%)		-1.0%	0.4%		1.1%	16.8%		1.7%	21.0%
Gross Margin (%)	27.8%	27.6%	24.8%	44.9%	44.8%	37.2%	53.2%	53.5%	46.6%
Operating profit	14,962	14,616	12,962	48,457	49,016	34,350	88,579	91,550	62,537
Op Margin (%)	24.9%	24.6%	21.9%	42.9%	43.0%	35.2%	51.3%	52.1%	43.1%
Net profit	1,275	12,163	11,017	40,031	40,098	28,367	72,783	73,747	52,953
EPS (TWD)	19.69	18.82	17.05	61.95	62.06	43.90	112.64	114.13	81.95
Diff (%)		-4.4%	10.4%		0.2%	41.4%		1.3%	39.3%

Source: Daiwa forecasts

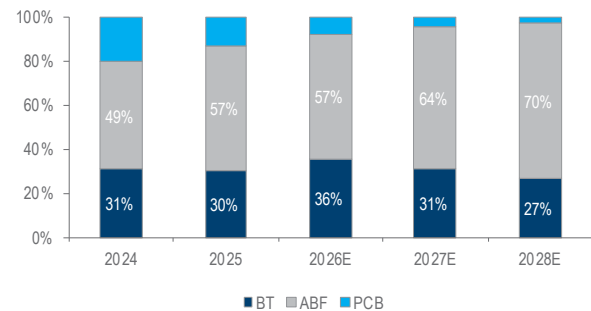
NYPCB: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	11,177	13,575	16,326	18,412	20,926	27,086	31,778	34,294	40,173	59,491	114,084	175,704
COGS	(9,406)	(10,216)	(11,379)	(12,075)	(12,844)	(15,645)	(16,942)	(17,497)	(36,526)	(43,075)	(62,928)	(81,623)
Gross profit	1,771	3,360	4,948	6,337	8,082	11,441	14,835	16,797	3,647	16,415	51,156	94,080
Operating expenses	(419)	(460)	(460)	(460)	(490)	(520)	(550)	(580)	(1,665)	(1,799)	(2,140)	(2,530)
Operating profit	1,352	2,899	4,488	5,877	7,592	10,921	14,285	16,217	1,982	14,616	49,016	91,550
Non-operating profit	246	76	170	172	171	176	172	165	363	665	684	633
Pre-tax profit	1,598	2,976	4,658	6,049	7,764	11,096	14,457	16,382	2,346	15,280	49,700	92,184
Net profit	1,309	2,262	3,633	4,960	6,366	9,099	11,855	12,778	1,947	12,163	40,098	73,747
Net EPS (TWD)	2.03	3.50	5.62	7.68	9.85	14.08	18.35	19.78	3.0	18.8	62.1	114.1
Operating Ratios												
Gross margin	15.8%	24.7%	30.3%	34.4%	38.6%	42.2%	46.7%	49.0%	9.1%	27.6%	44.8%	53.5%
Operating margin	12.1%	21.4%	27.5%	31.9%	36.3%	40.3%	45.0%	47.3%	4.9%	24.6%	43.0%	52.1%
Pre-tax margin	14.3%	21.9%	28.5%	32.9%	37.1%	41.0%	45.5%	47.8%	5.8%	25.7%	43.6%	52.5%
Net margin	11.7%	16.7%	22.3%	26.9%	30.4%	33.6%	37.3%	37.3%	4.8%	20.4%	35.1%	42.0%
YoY (%)												
Net revenue	32%	42%	49%	65%	87%	100%	95%	86%	24%	48%	92%	54%
Gross profit	312%	337%	371%	353%	356%	241%	200%	165%	920%	350%	212%	84%
Operating profit	3986%	692%	623%	510%	461%	277%	218%	176%	-257%	637%	235%	87%
Pre-tax profit	524%	-1413%	413%	329%	386%	273%	210%	171%	1338%	551%	225%	85%
Net profit	531%	-1307%	401%	313%	386%	302%	226%	158%	856%	525%	230%	84%
QoQ (%)												
Net revenue	0%	21%	20%	13%	14%	29%	17%	8%				
Gross profit	27%	90%	47%	28%	28%	42%	30%	13%				
Operating profit	40%	114%	55%	31%	29%	44%	31%	14%				
Pre-tax profit	13%	86%	57%	30%	28%	43%	30%	13%				
Net profit	9%	73%	61%	37%	28%	43%	30%	8%				

Source: Company, Daiwa forecasts

NYPCB: 1-year forward PER bands


Source: TEJ, Daiwa forecasts

NYPCB: revenue breakdown by product


Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Global PC shipment (m)	361	301	260	263	287	244	244	244
Regular server shipment (m)	14	15	12	14	16	18	22	26
Global smartphone shipment (m)	1,655	1,437	1,380	1,437	1,429	1,249	1,255	1,300

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
ABF	25,805	38,250	25,758	15,797	22,701	33,662	72,849	123,077
BT	15,987	16,905	9,393	9,880	12,153	21,136	35,496	47,002
Other Revenue	10,437	9,492	7,101	6,606	5,320	4,692	5,739	5,625
Total Revenue	52,228	64,647	42,253	32,283	40,173	59,491	114,084	175,704
Other income	0	0	0	0	0	0	0	0
COGS	(37,346)	(38,779)	(34,075)	(31,926)	(36,526)	(43,075)	(62,928)	(81,623)
SG&A	(2,012)	(2,293)	(1,847)	(1,624)	(1,665)	(1,799)	(2,140)	(2,530)
Other op.expenses	0	0	0	0	0	0	0	0
Operating profit	12,871	23,575	6,330	(1,267)	1,982	14,616	49,016	91,550
Net-interest inc./(exp.)	(32)	(22)	(19)	(18)	(14)	(13)	(13)	(13)
Assoc/forex/extraord./others	257	1,809	796	1,447	377	677	697	646
Pre-tax profit	13,095	25,362	7,107	163	2,346	15,280	49,700	92,184
Tax	(2,514)	(5,946)	(1,290)	41	(399)	(3,117)	(9,601)	(18,437)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	10,582	19,416	5,817	204	1,947	12,163	40,098	73,747
Net profit (adjusted)	10,582	19,416	5,817	204	1,947	12,163	40,098	73,747
EPS (reported)(TWD)	16.376	30.047	9.002	0.315	3.013	18.824	62.056	114.130
EPS (adjusted)(TWD)	16.376	30.047	9.002	0.315	3.013	18.824	62.056	114.130
EPS (adjusted fully-diluted)(TWD)	16.376	30.047	9.002	0.315	3.013	18.824	62.056	114.130
DPS (TWD)	10.000	18.000	5.500	1.000	1.000	9.412	31.028	57.065
EBIT	12,871	23,575	6,330	(1,267)	1,982	14,616	49,016	91,550
EBITDA	16,505	27,919	12,226	5,193	8,876	21,823	55,502	97,388

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	13,095	25,362	7,107	163	2,346	15,280	49,700	92,184
Depreciation and amortisation	3,634	4,344	5,896	6,460	6,894	7,207	6,487	5,838
Tax paid	(2,514)	(5,946)	(1,290)	41	(399)	(3,117)	(9,601)	(18,437)
Change in working capital	(2,337)	(2,805)	7,510	(1,779)	(3,218)	(7,367)	(14,267)	(13,269)
Other operational CF items	4,050	11,352	(2,709)	(2,725)	(2,596)	(879)	0	0
Cash flow from operations	15,929	32,307	16,513	2,160	3,027	11,125	32,318	66,315
Capex	(8,451)	(16,922)	(11,779)	(2,379)	(2,422)	(1,992)	(1,892)	(1,798)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	3,061	53	(471)	(223)	700	(677)	77	96
Cash flow from investing	(5,391)	(16,869)	(12,251)	(2,602)	(1,723)	(2,669)	(1,815)	(1,702)
Change in debt	983	(1,981)	0	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(2,197)	(6,462)	(11,631)	(3,554)	(646)	(646)	(6,082)	(20,049)
Other financing CF items	(1,678)	(222)	(180)	(289)	(241)	(283)	0	0
Cash flow from financing	(2,892)	(8,665)	(11,811)	(3,843)	(887)	(929)	(6,082)	(20,049)
Forex effect/others	(25)	76	(166)	436	(309)	417	218	237
Change in cash	7,621	6,850	(7,714)	(3,849)	109	7,944	24,639	44,801
Free cash flow	7,478	15,386	4,734	(219)	605	9,133	30,425	64,518

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	13,194	20,044	12,567	8,587	8,706	16,696	41,335	86,136
Inventory	5,348	5,803	3,896	4,101	5,068	6,286	9,093	11,557
Accounts receivable	11,062	14,893	6,898	6,996	9,552	16,060	29,628	42,596
Other current assets	572	570	1,113	991	296	1,060	1,060	1,060
Total current assets	30,176	41,310	24,474	20,675	23,623	40,101	81,116	141,349
Fixed assets	25,668	39,926	45,476	41,804	37,085	32,239	27,645	23,605
Goodwill & intangibles	0	0	0	0	0	0	0	0
Other non-current assets	502	514	487	460	500	575	497	402
Total assets	56,345	81,750	70,437	62,938	61,207	72,915	109,258	165,355
Short-term debt	1,669	0	0	0	0	0	0	0
Accounts payable	6,710	8,895	5,808	3,672	3,979	5,283	7,391	9,554
Other current liabilities	2,137	4,794	3,292	2,992	3,210	3,715	3,715	3,715
Total current liabilities	10,516	13,689	9,100	6,664	7,189	8,998	11,107	13,269
Long-term debt	227	0	0	0	0	0	0	0
Other non-current liabilities	5,123	14,339	13,429	10,824	7,896	6,843	6,843	6,843
Total liabilities	15,866	28,028	22,530	17,488	15,085	15,841	17,950	20,112
Share capital	6,462	6,462	6,462	6,462	6,462	6,462	6,462	6,462
Reserves/R.E./others	34,017	47,261	41,446	38,989	39,661	50,612	84,847	138,782
Shareholders' equity	40,479	53,723	47,908	45,450	46,123	57,074	91,309	145,243
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	56,345	81,750	70,437	62,938	61,207	72,915	109,258	165,355
EV	764,101	755,355	762,832	766,812	766,693	758,703	734,064	689,263
Net debt/(cash)	(11,298)	(20,044)	(12,567)	(8,587)	(8,706)	(16,696)	(41,335)	(86,136)
BVPS (TWD)	62.645	83.141	74.142	70.339	71.379	88.327	141.308	224.777

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	35.6	23.8	(34.6)	(23.6)	24.4	48.1	91.8	54.0
EBITDA (YoY)	134.4	69.2	(56.2)	(57.5)	70.9	145.9	154.3	75.5
Operating profit (YoY)	213.3	83.2	(73.1)	n.a.	n.a.	637.3	235.4	86.8
Net profit (YoY)	188.6	83.5	(70.0)	(96.5)	855.6	524.8	229.7	83.9
Core EPS (fully-diluted) (YoY)	188.6	83.5	(70.0)	(96.5)	855.6	524.8	229.7	83.9
Gross-profit margin	28.5	40.0	19.4	1.1	9.1	27.6	44.8	53.5
EBITDA margin	31.6	43.2	28.9	16.1	22.1	36.7	48.7	55.4
Operating-profit margin	24.6	36.5	15.0	n.a.	4.9	24.6	43.0	52.1
Net profit margin	20.3	30.0	13.8	0.6	4.8	20.4	35.1	42.0
ROAE	29.1	41.2	11.4	0.4	4.3	23.6	54.0	62.4
ROAA	21.0	28.1	7.6	0.3	3.1	18.1	44.0	53.7
ROCE	34.0	49.1	12.5	n.a.	4.3	28.3	66.1	77.4
ROIC	36.6	57.4	15.0	n.a.	4.4	29.9	87.5	n.a.
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	19.2	23.4	18.2	0.0	17.0	20.4	19.3	20.0
Accounts receivable (days)	70.7	73.3	94.1	78.5	75.2	78.6	73.1	75.0
Current ratio (x)	2.9	3.0	2.7	3.1	3.3	4.5	7.3	10.7
Net interest cover (x)	406.2	1,128.2	367.9	10.3	170.8	1,188.5	3,791.2	7,014.4
Net dividend payout	61.1	59.9	61.2	n.a.	33.2	50.0	50.0	50.0
Free cash flow yield	1.0	2.0	0.6	n.a.	0.1	1.2	3.9	8.3

Source: FactSet, Daiwa forecasts

Company profile

Nan Ya PCB originated as one of the business divisions of Nan Ya Plastics Corporation before transforming into a subsidiary in 1997, specialising in the manufacturing of printed circuit boards (PCBs) and integrated circuit (IC) substrates. The company's primary end applications include networking (c.50%), PCs (c.20%), consumer electronics (c.10%), automotive (c.10%) and other sectors. Its manufacturing facilities are located in Taiwan and China.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	Nan Ya PCB's board of directors (BoD) is responsible for overseeing the company's operations and ensuring adherence to corporate governance principles. The board comprises individuals with diverse expertise, contributing to effective decision-making and strategic planning. The company emphasizes the importance of corporate governance as a set of processes, customs, policies, laws, and institutions affecting the way the corporation is directed, administered, or controlled. Principal stakeholders include stockholders, management, and the board of directors, among others.
	Capital management	2	Nan Ya PCB maintains a prudent approach to capital management, ensuring financial stability and the availability of resources necessary for operational and strategic initiatives. The company's financial statements reflect a solid capital structure, supporting its growth and sustainability objectives.
	Related party & transaction	1	The company adheres to strict policies regarding related party transactions to maintain transparency and fairness. Such transactions are conducted under terms comparable to those with independent third parties and are disclosed in financial reports to ensure compliance with regulatory standards and corporate governance best practices. For example, the company's consolidated financial statements provide details on transactions with related parties, ensuring transparency and accountability.
S	Supply chain management	1	Nan Ya PCB is committed to sustainable supply chain management, emphasizing environmental protection, procurement policies, and social responsibility. The company has established a comprehensive procurement policy that integrates sustainability considerations, ensuring that suppliers adhere to ethical standards and environmental regulations. This commitment is part of the company's broader sustainable responsibility policy, which includes areas such as corporate governance, environmental protection, and social welfare.
E	Data security	1	While specific details on Nan Ya PCB's data security measures are not extensively disclosed in the available sources, the company recognizes the importance of information security in its operations. As part of its corporate governance framework, Nan Ya PCB is likely to implement standard data protection practices to safeguard sensitive information and ensure compliance with relevant regulations. Stakeholders are encouraged to consult the company's official communications or contact the company directly for detailed information on data security policies.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 May 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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